

Chapter 10



INTRODUCTION
TO BUSINESS 4e

JEFF MADURA

Motivating Employees

Learning Objectives

Satisfaction

Increase Value

Motivating
Employees

Disgruntled

Theories



Motivating Employees

Increase Value
Theories
Disgruntled
Satisfaction



Value of Motivation

	Firm A (which hires Anna)	Firm B (which hires Marie)
Employee work interaction	Frequent	Seldom
Employee social interaction	Frequent	Seldom
Input provided by managers to employees	Frequent	Seldom
Input requested from employees by managers	Frequent	Seldom

Hawthorne Studies



秒懂心理

心理学“霍桑效应”

纽斯特王宁

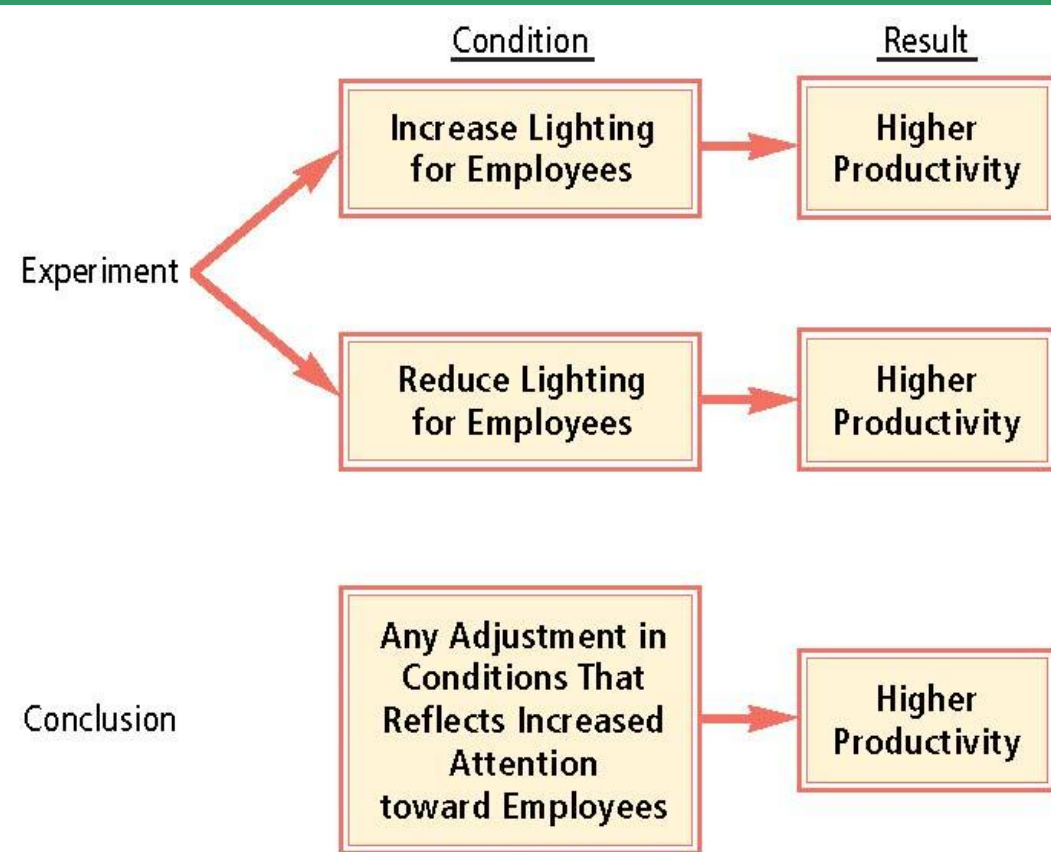
秒懂心理

Motivating Employees

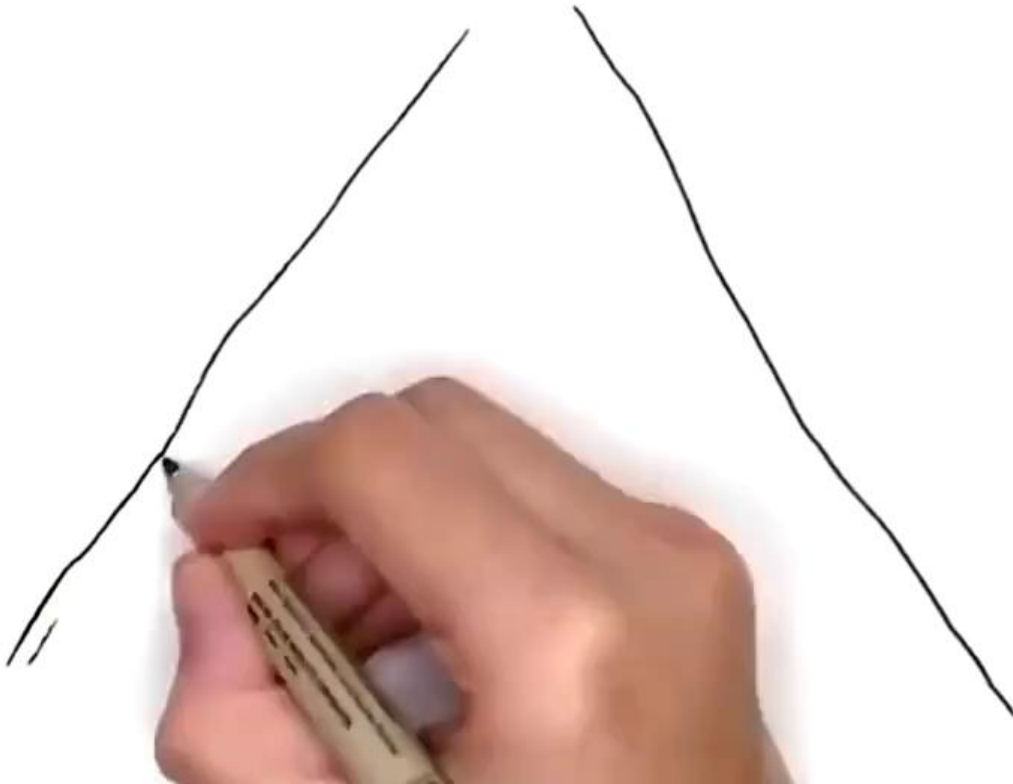
Increase Value
Theories
Disgruntled
Satisfaction



Hawthorne Studies



Hierarchy of Needs

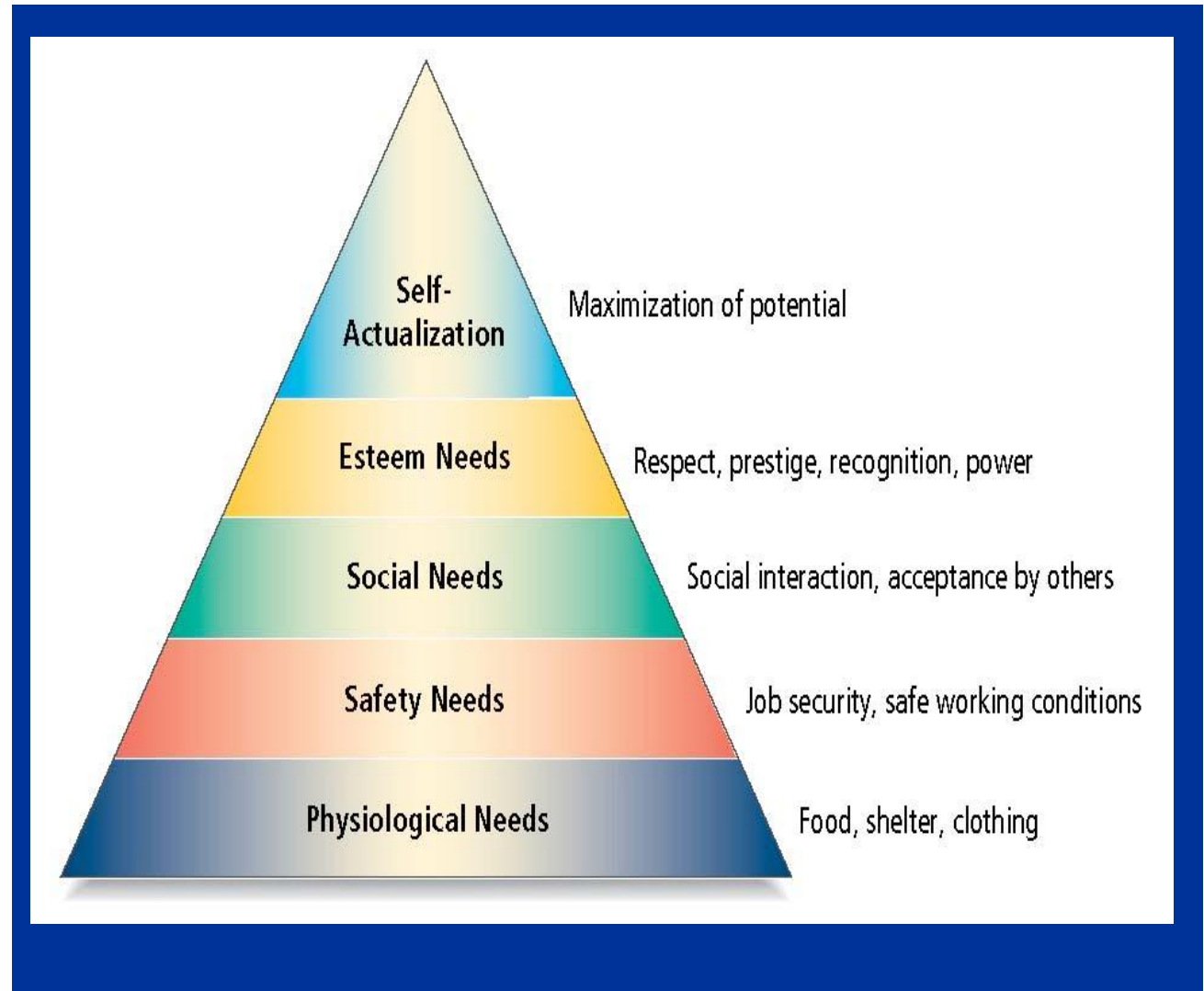


Motivating
Employees

Increase Value
Theories
Disgruntled
Satisfaction



Hierarchy of Needs

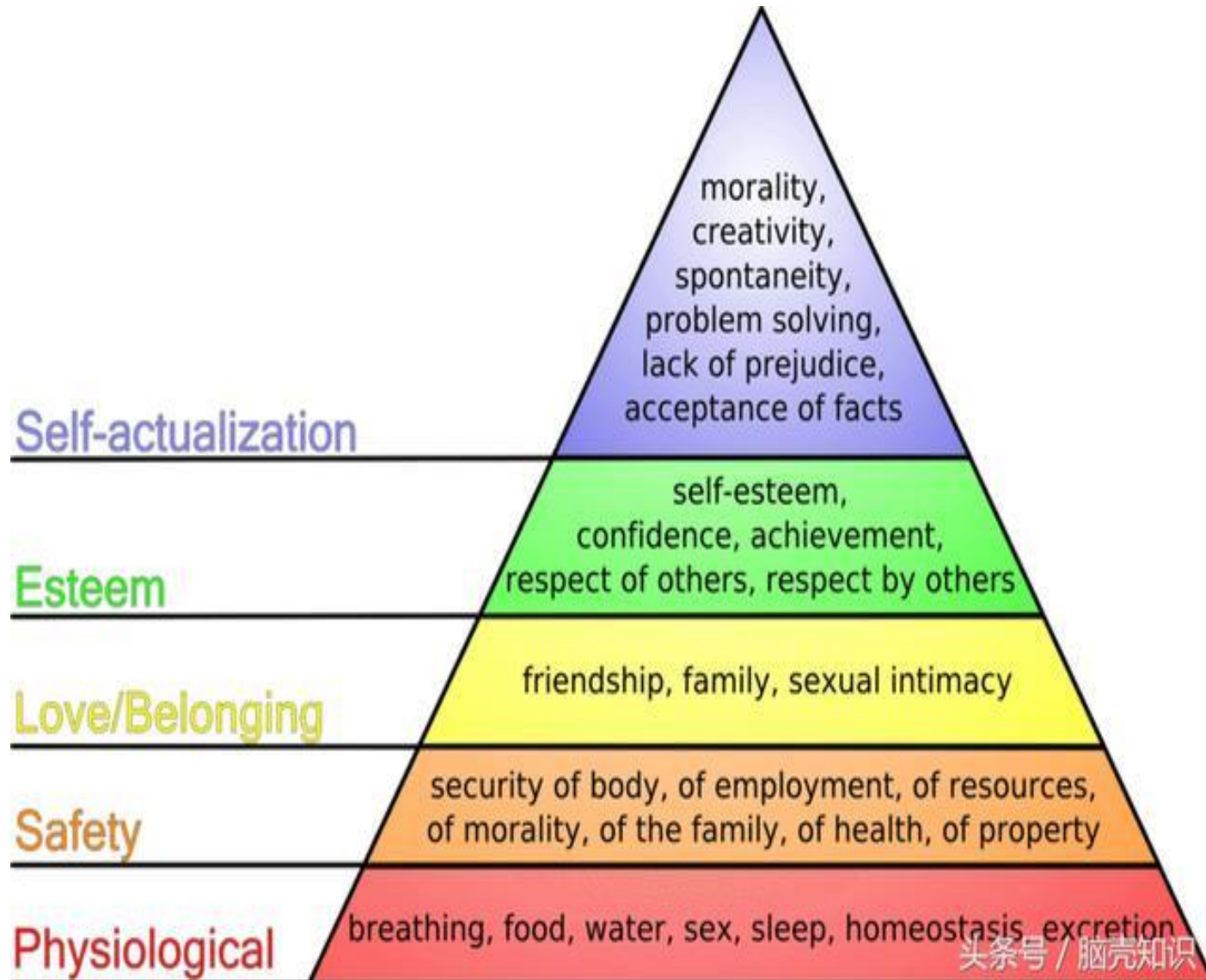


Motivating
Employees

Increase Value
Theories
Disgruntled
Satisfaction



Hierarchy of Needs

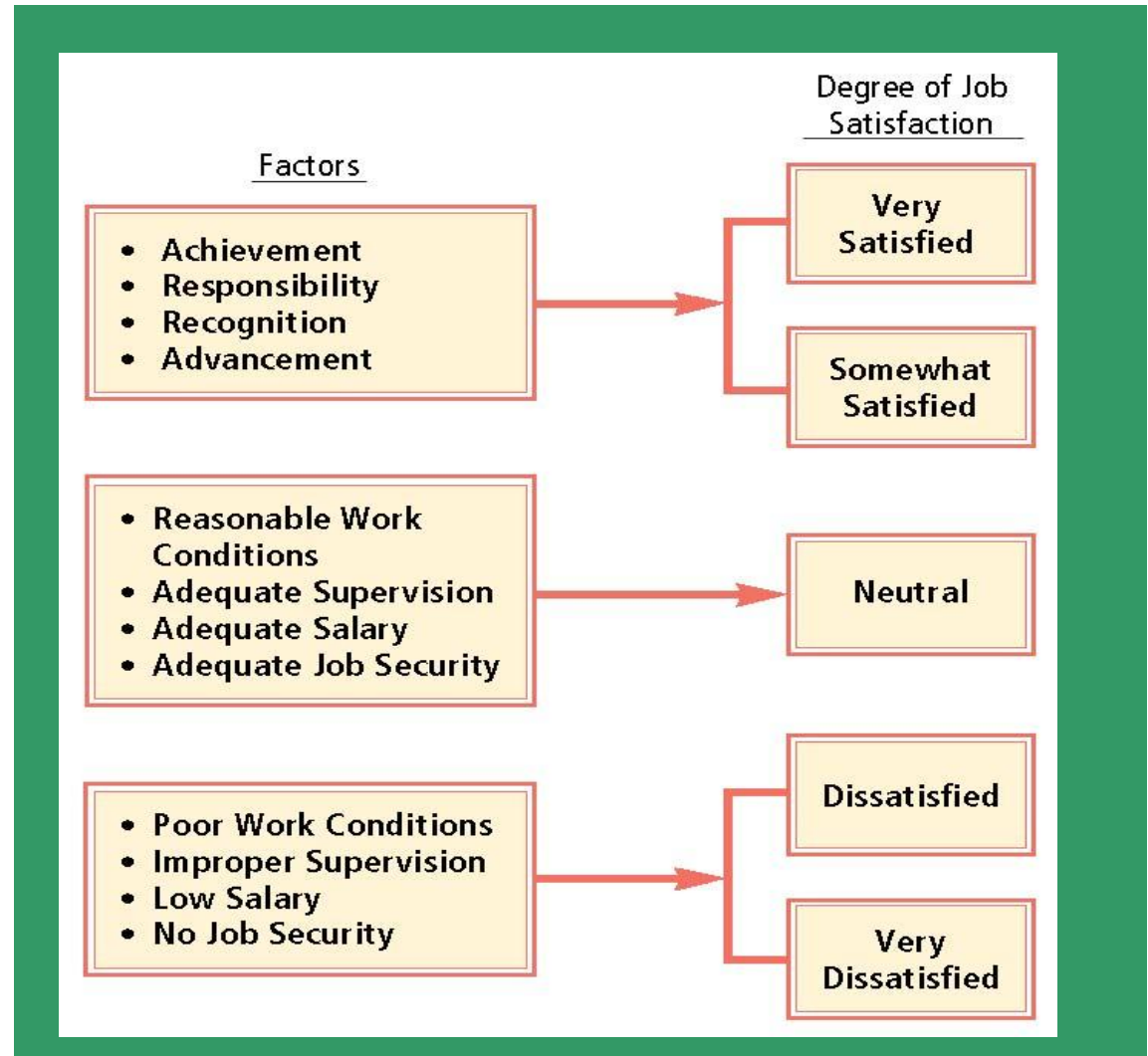


Motivating Employees

Increase Value
Theories
Disgruntled
Satisfaction



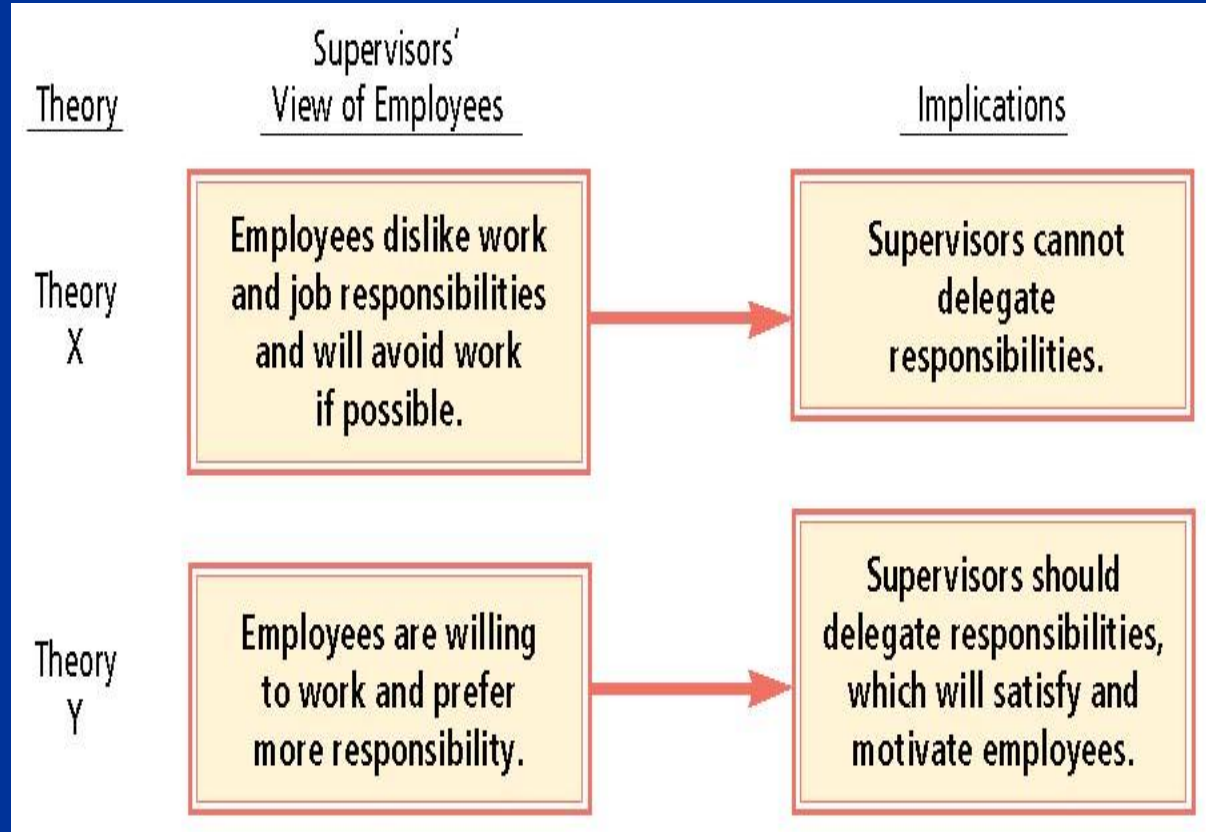
Herzberg's Theory



Motivating Employees

Douglas McGregor's Theory

Increase Value
Theories
Disgruntled
Satisfaction



Motivating
Employees

Increase Value
Theories
Disgruntled
Satisfaction



Expectancy Theory

Want an “A” Grade?

Exams – free questions

Grading Scale

A = > 99.9%

B = 99.9 – 99.8%

C = 99.8 – 99.7%

D = 99.7 – 99.6%

F = < 99.6%

No One Ever Passed

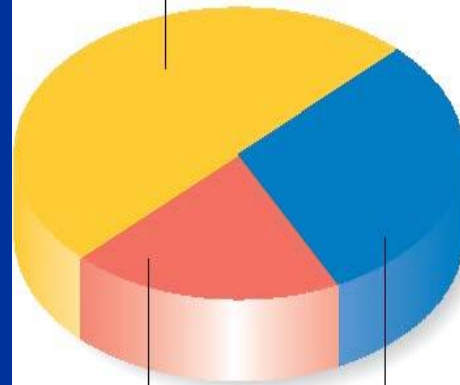
Increase Value
Theories
Disgruntled
Satisfaction



Equity Theory

Assumed Contribution of Each
Employee to the Firm's Output

Employee 1
50%

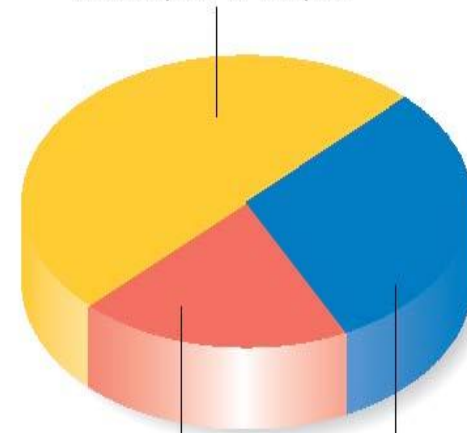


Employee 3
20%

Employee 2
30%

Allocation of Annual
Compensation of \$100,000

Employee 1 = 50%
of \$100,000 or \$50,000



Employee 3 = 20%
of \$100,000 or
\$20,000

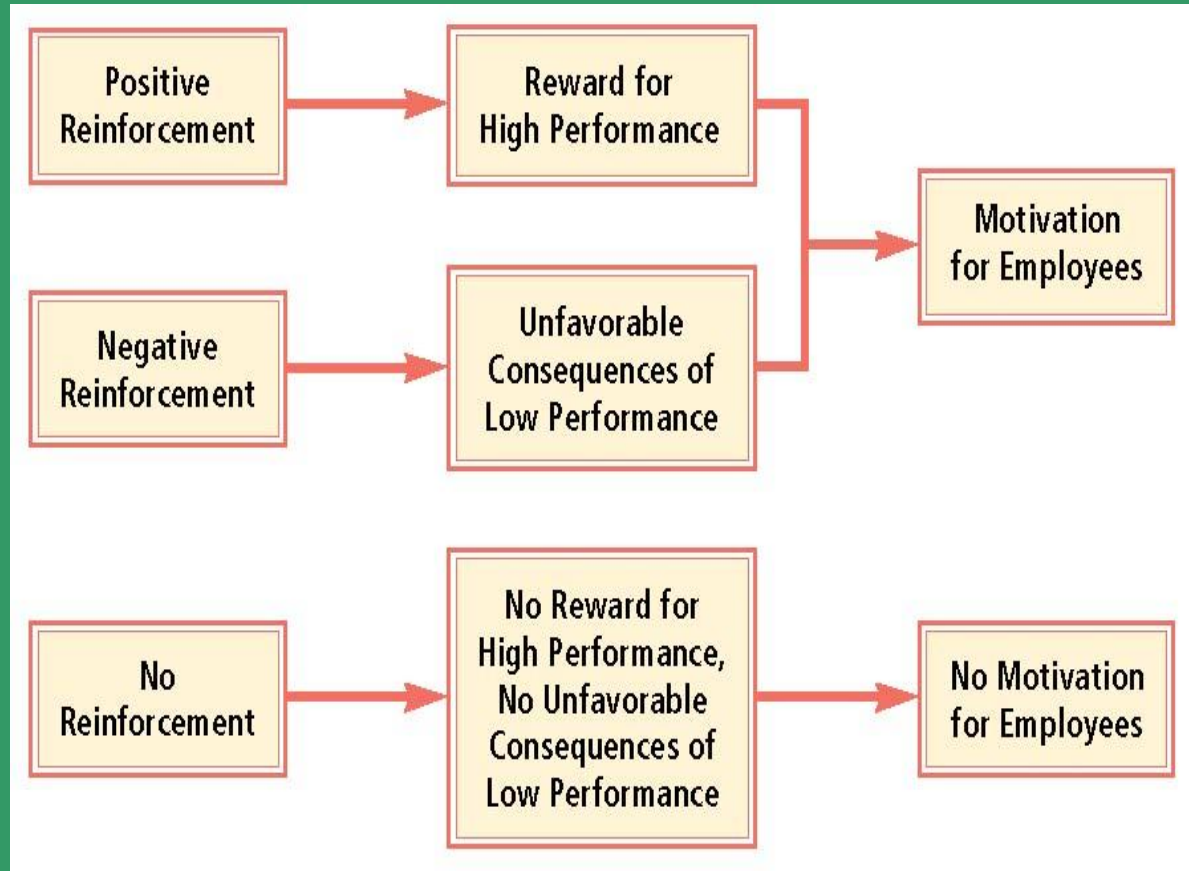
Employee 2 = 30%
of \$100,000 or
\$30,000

Motivating Employees

Increase Value
Theories
Disgruntled
Satisfaction



Reinforcement Theory



Motivating Employees

Increase Value Theories Disgruntled Satisfaction



Motivational Guidelines

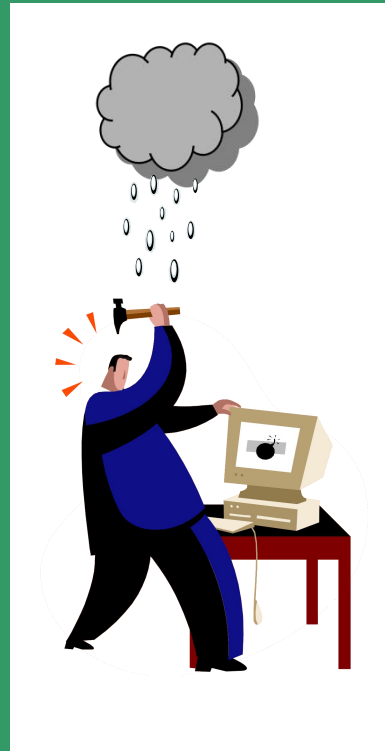
Theory	Implications
Theory developed from Hawthorne studies	Workers can be motivated by attention.
Maslow's hierarchy of needs	Needs of workers vary, and managers can motivate workers to achieve these needs.
Herzberg's job satisfaction study	Compensation, reasonable working conditions, and other factors do not ensure job satisfaction but only prevent job dissatisfaction. Thus, other factors (such as responsibility) may be necessary to motivate workers.
McGregor's Theory X and Theory Y	Based on Theory X, workers will avoid work if possible and cannot accept responsibility. Based on Theory Y, workers are willing to work and prefer more responsibility. If Theory Y exists, managers can motivate workers by delegating responsibility.
Theory Z	Workers are motivated when they are allowed to participate in decision making.
Expectancy theory	Workers are motivated if potential rewards for high performance are desirable and achievable.
Equity theory	Workers are motivated if they are being compensated in accordance with their perceived contribution to the firm.
Reinforcement theory	Good behavior should be positively reinforced and poor behavior should be negatively reinforced to motivate workers in the future.

Motivating
Employees

Increase Value
Theories
Disgruntled
Satisfaction



Disgruntled Employees



Motivation

Discipline

Termination

Motivating Employees

Increase Value Theories
Disgruntled Satisfaction



Job Enrichment

Method	Description
1. Adequate compensation program	▶ Align raises with performance. ▶ Align bonuses with performance. ▶ Provide stock as partial compensation.
2. Job security	▶ Encourage employees to have a long-term commitment to the firm.
3. Flexible work schedule	▶ Allow employees flexibility on the timing of their work schedules.
4. Employee involvement programs	▶ Implement job enlargement. ▶ Implement job rotation. ▶ Implement empowerment and participative management. ▶ Implement teamwork. ▶ Implement open-book management.

Motivating
Employees

Compensation Programs

Increase Value
Theories
Disgruntled
Satisfaction



Merit

Across-the-board

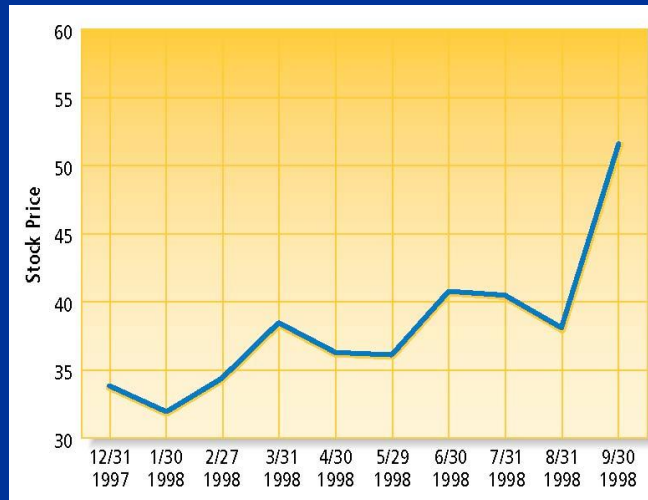
Incentive

Motivating
Employees

Increase Value
Theories
Disgruntled
Satisfaction



Compensation Plan



Business Goals

Employee Goals

Achievable

Employee Input

Compensation Programs



A couple is raising fish for a boss at sea, and the boss gives the couple a mor
一对夫妇在海上为一老板养鱼，老板每月开给这对夫妇

Motivating
Employees

Increase Value
Theories
Disgruntled
Satisfaction



Security & Schedules



Job Security



Flextime

Compressed Workweek

Job Sharing

Motivating
Employees

Increase Value
Theories
Disgruntled
Satisfaction



Employee Involvement



Job Enlargement

Job Rotation

Empowerment

Participative

Teamwork

Open-Book

Review & Critical Thinking Questions

Identify the categories of Maslow's hierarchy of needs theory.



Review & Critical Thinking Questions

Maslow's hierarchy of needs theory suggests that people rank their needs into five general categories. These categories are (1) physiological needs, (2) safety needs, (3) social needs, (4) esteem needs, and (5) self-actualization.



Motivating
Employees

Review & Critical Thinking Questions

Distinguish between McGregor's Theory X and Theory Y perceptions of management.



Review & Critical Thinking Questions

Theory X: Managers perceive that employees dislike work and job responsibilities. Since Theory X managers feel that employees will avoid work if possible, these managers use tight control over their subordinates and will likely delegate little or no authority.

Theory Y: Managers perceive that employees are willing to work and prefer more responsibility. These managerial perceptions lead to more authority being delegated to the employees. Employees are also offered more opportunities to use their creativity.



Review & Critical Thinking Questions

Describe some methods that will enhance job satisfaction and motivate employees.



Review & Critical Thinking Questions

Many of the theories on motivation suggest that firms can motivate employees to perform well by ensuring job satisfaction. Methods to enhance job satisfaction include the following: (1) adequate compensation programs, (2) job security, (3) flexible work schedules, and (4) employee involvement programs.

Firms can attempt to satisfy employees by offering adequate compensation for the work involved. Developing a proper compensation plan requires an alignment of raises and bonuses with performance. Some firms find that providing employees stock as partial compensation can motivate employees to higher performance levels.



Review & Critical Thinking Questions

Another technique to enhance job motivation is providing employees with job security. Firms attempt to do this by training employees to handle various tasks so that they can be assigned other duties if their typical assignments are no longer needed.

Flexible work schedules, called flextime programs, allow employees some control over their work schedule. Some firms have experimented with a compressed work week, in which the workload is compressed into fewer days, (i.e., 4 days, 10 hours per day). Another form of a flexible work schedule is job sharing, where two or more employees share a particular work schedule.



Review & Critical Thinking Questions

Employee involvement programs are based on the idea that employees would be more motivated if they played a bigger role in the firm. Common employee involvement programs include the following: job enlargement, job rotation, empowerment and participative management, teamwork, and open-book management.

